Amazon

BY

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Introduction

AI shopping assistants

- Amazon is an online shopping platform where people can look for things they want to buy.
- Online shopping is starting to change from using keywords to search for products to asking AI assistants questions and getting recommendations.
- Amazon introduced Rufus, its AI shopping assistant, which was renamed Alexa for Shopping in 2026.

Why did I choose this trend?

Amazon is a good company to study because helping customers find products is an important part of its business. AI could change how customers search for products and decide what to buy. This trend matters now because major retailers are already adding AI tools to their shopping platforms.

Why Is AI Shopping Growing?

- **AI technology is improving**

AI can understand questions written in everyday language and give answers based on product information. This allows customers to ask for help not only just searching with specific keywords.

- **People want shopping to be easier**

People often spend time comparing products, reading reviews, and looking for the right item. AI assistants help customers save time by comparing options and giving recommendations.

- **Retailers are looking for new ways to help customers**

Amazon and other retailers are adding AI tools to improve the shopping experience. If customers find these tools helpful, they might be more likely to keep using that shopping platform.

Who Is Driving This Change?

- **Consumers**: Customers want to find what they need without spending too much time searching. They also want to compare products and get suggestions that fit their needs.
- **Amazon and other retailers**: Amazon's Alexa for Shopping and Walmart's Sparky are examples of retailers using AI to help customers shop.
- **Technology companies**: Companies that develop AI models and cloud services help retailers build assistants that can answer questions and handle many customer requests.
- **Government and regulators**: Privacy concerns and rules about how AI collects and uses personal information can affect how retailers develop these tools and what features they can offer to customers.

Evidence - Consumer Behavior

Online shopping is already common

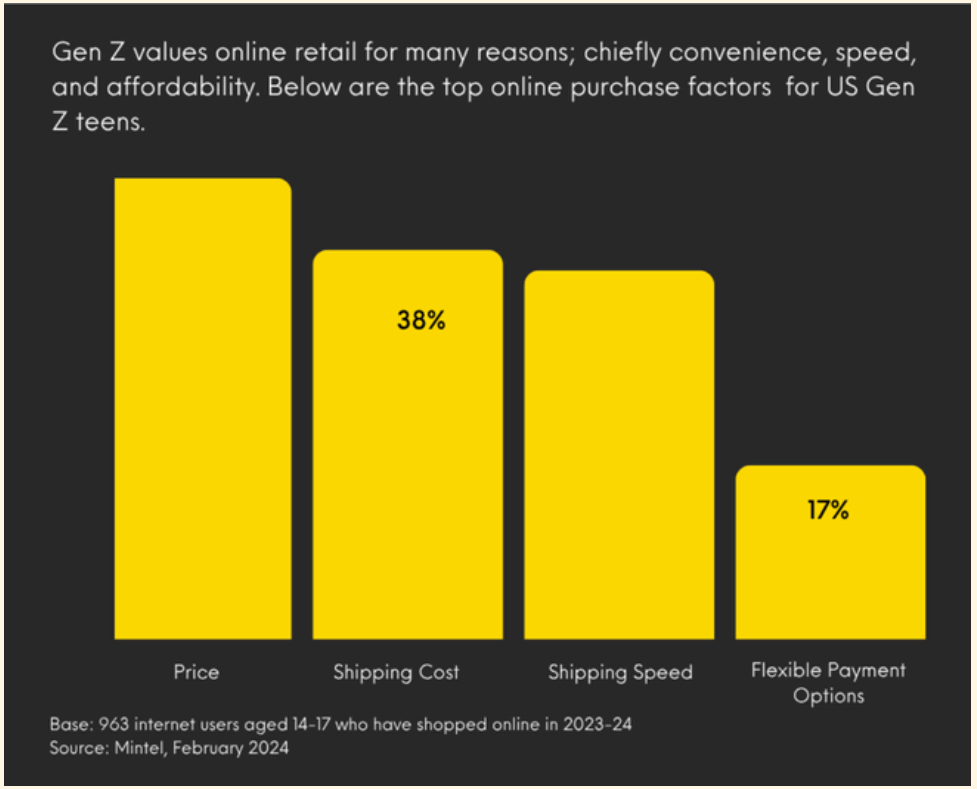
Mintel reports that 86% of U.S. consumers shop online at least once a month. This means AI shopping tools could reach a large number of people who already shop online.

Younger consumers shop online frequently

Mintel reports that 59% of U.S. Gen Z adults shop online at least once a week. The article also explains that convenience, speed, and affordability are important to younger shoppers.

Not everyone is comfortable with technology

Mintel reports that 47% of consumers are average-to-low technology users. This shows that retailers cannot assume everyone will know how to use AI shopping assistants. The tools need to be simple and easy to understand.



Evidence - Amazon and the Retail Industry

- **Amazon reported an increase in Rufus use**

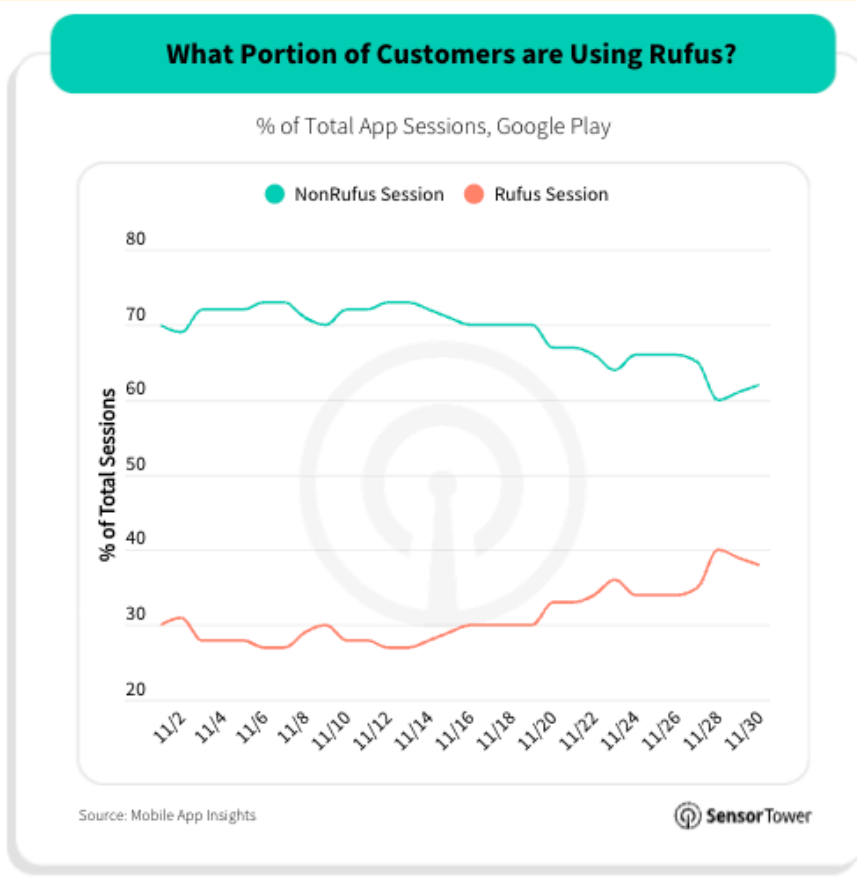
Amazon reported that more than 250 million customers had used Rufus in 2025. Monthly users increased 140% year over year, and interactions increased 210% year over year in November.

- **Rufus use increased around Black Friday**

Sensor Tower found that Rufus was involved in about 30% of Amazon app sessions at the start of November 2025. This increased to 40% on Black Friday.

- **Other retailers are also using AI**

Other retailers, including Walmart, have introduced AI shopping assistants. This shows that Amazon is not the only company exploring how AI can change online shopping.



Opportunities and Challenges for Amazon

Opportunities

- **Make product searches easier:**
Customers can describe what they need and ask questions instead of trying different keywords.

- **Give more useful recommendations:**
AI could help customers compare products and find items that better fit their needs.

- **Stay competitive:**
Improving its AI assistant could help Amazon compete with retailers such as Walmart that are also investing in AI.

Challenges and risks

- **Incorrect information:**
If AI gives inaccurate product details or recommendations, customers may lose trust in Amazon.

- **Privacy concerns:**
Some customers might not feel comfortable with AI using their shopping activity to personalize recommendations.

- **Operating costs:**
Running AI tools for many customers requires computing resources and ongoing work to improve their speed and accuracy.

What Should Amazon Pay Attention To?

My main insight

AI shopping could change how customers find products and decide what to buy. For Amazon, the important part is not just adding an AI assistant, but making sure it actually helps customers.

Why should executives care?

- Finding products is an important part of Amazon's shopping experience.
- Other retailers are also adding AI shopping tools, so competition is increasing.
- If AI gives poor recommendations or makes customers uncomfortable about their data, it could hurt their trust in Amazon.

What should Amazon continue monitoring?

- How many customers use the assistant and whether they come back to use it again.
- Whether customers who use AI are more likely to complete a purchase.
- Whether the assistant gives accurate and helpful answers.
- Customer feedback, privacy concerns, and the cost of running the system.

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The End

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